SUPPLY CHAIN & LOGISTICS · EXECUTIVE INTELLIGENCE REPORT

FREIGHT OPERATIONS & FLEET PERFORMANCE

Reporting Period	2022 – 2024 Operating Years (3-Year Trailing Scope)
Prepared For	Executive Leadership Team - CEO, CFO, VP Operations, Director of Safety
Fleet Scope	85,410 Delivered Loads · 122.2M Miles Driven · 120 Power Units · 150 Drivers
Classification	Financial Performance, Fleet Reliability, Logistics Network & Safety Risk Analysis

01 Financial Performance & Revenue Health

$298.62M	66.1%	85,410	$3,496
GROSS REVENUE	DIRECT OP. MARGIN	DELIVERED LOADS	AVG REV / LOAD

Over the three-year operating period, our fleet generated **$298.62 million in total gross revenue** across 85,410 completed freight deliveries. After deducting direct variable operating costs (diesel fuel purchases and fleet repair bills), our business achieved a direct operating margin of **66.1% ($197.30 million)**.

> **Reading this figure correctly:** “Direct operating margin” in this report is a contribution margin it accounts for variable fuel and maintenance only. It excludes driver wages, financing, insurance, and SG&A overhead. This figure should not be read as a full operating (EBIT) margin when compared against other business units.

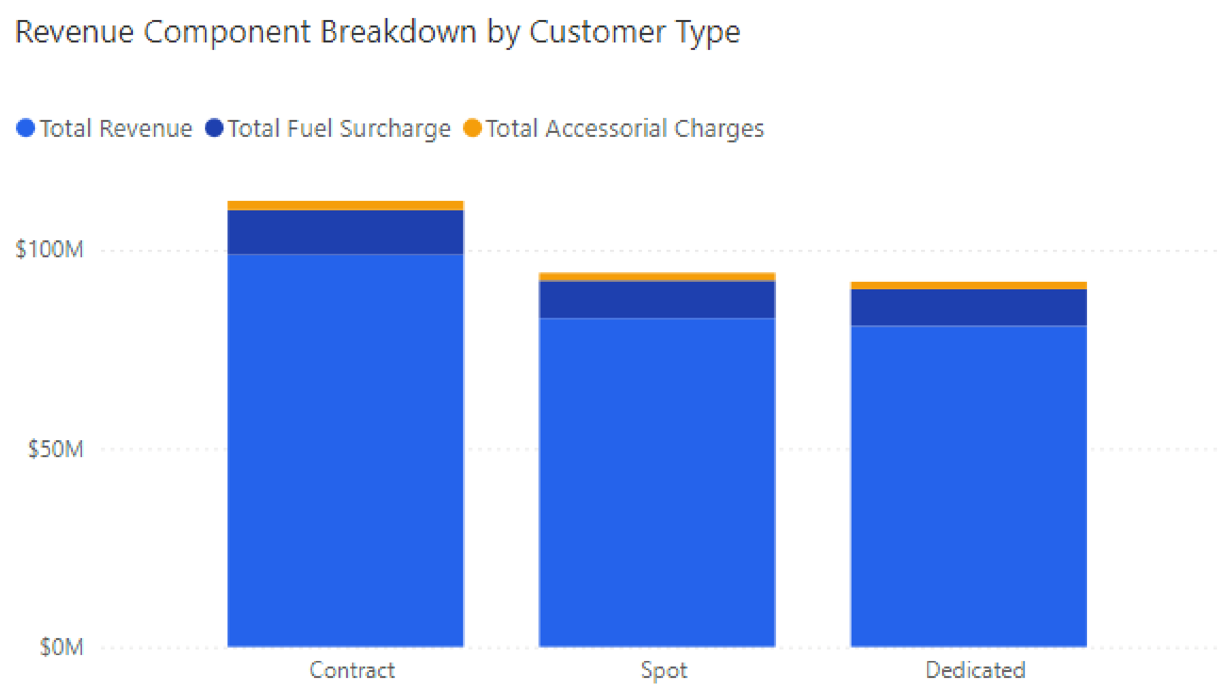
Commercial Revenue Composition

Our revenue originates from three distinct streams:

(1) **Base Freight Revenue ($262.53M / 87.9%)** from contracted and spot linehaul agreements;

(2) **Fuel Surcharge Invoicing ($29.98M / 10.0%)** billed to protect against diesel inflation; and

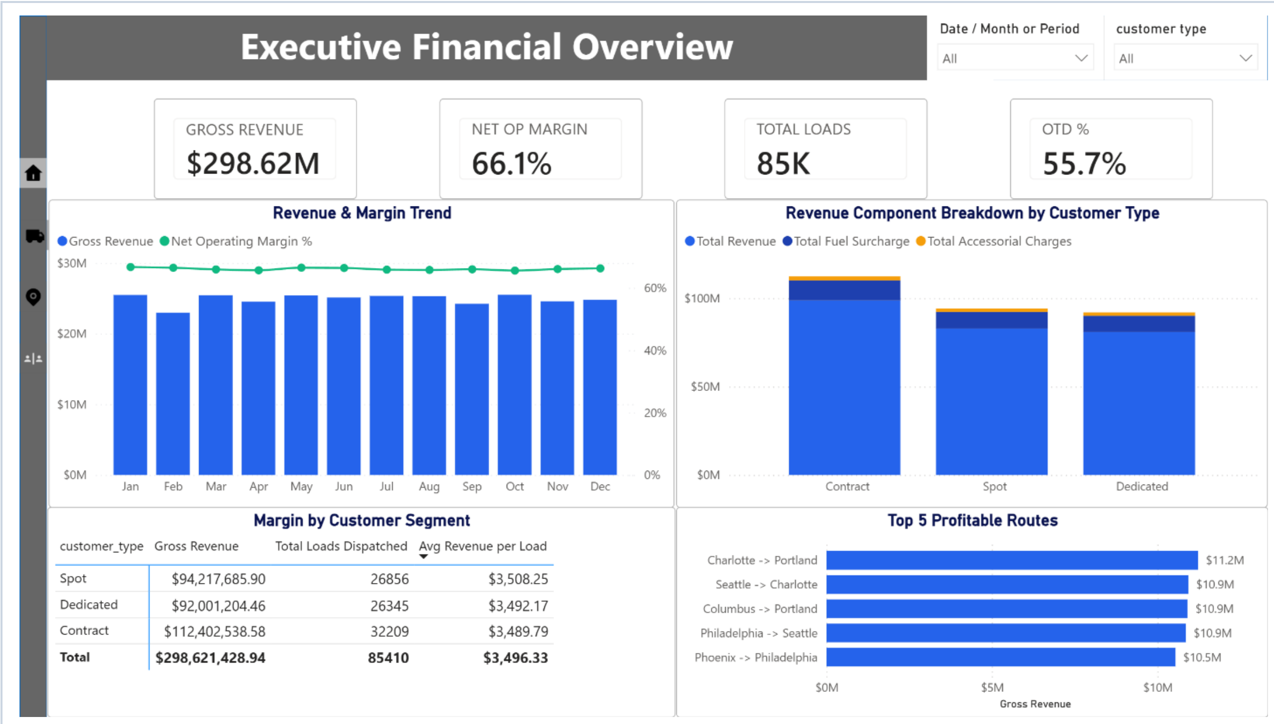
(3) **Accessorial & Detention Fees ($6.12M / 2.1%)** charged for loading assistance, specialized handling, and dock wait times .



Revenue Stream	Gross Amount	% Share	Commercial Description
Base Freight Revenue	$262.53M	87.9%	Standard contracted and spot freight hauling charges
Fuel Surcharge Invoicing	$29.98M	10.0%	Fees billed to shippers to hedge diesel price swings
Accessorial & Detention Fees	$6.12M	2.1%	Loading assistance, special handling, extended dock waits
Consolidated Invoiced Revenue	**$298.62M**	**100.0%**	**Total billed commercial revenue**

Fuel Surcharge Recovery & Net Fuel Expense: Our fleet spent **$95.59 million on diesel fuel** across the 3-year period. Customer fuel surcharges successfully recovered **$29.98 million (31.4% of gross fuel spend)** to offset retail pump price inflation above contracted baselines. The remaining **$65.61 million represents our Net Fuel Expense**, which was absorbed by our $262.53 million base freight revenue while maintaining an overall direct operating margin of 66.1%.

Customer Segment	Total Loads	Total Gross Revenue	Avg Revenue / Load
Contract Customers	32,209	$112.40M	$3,489.79
Spot Market	26,856	$94.22M	$3,508.25
Dedicated Routes	26,345	$92.00M	$3,492.17
Fleet Total	**85,410**	**$298.62M**	**$3,496.33**



02 Fleet Reliability & Truck Replacement Strategy

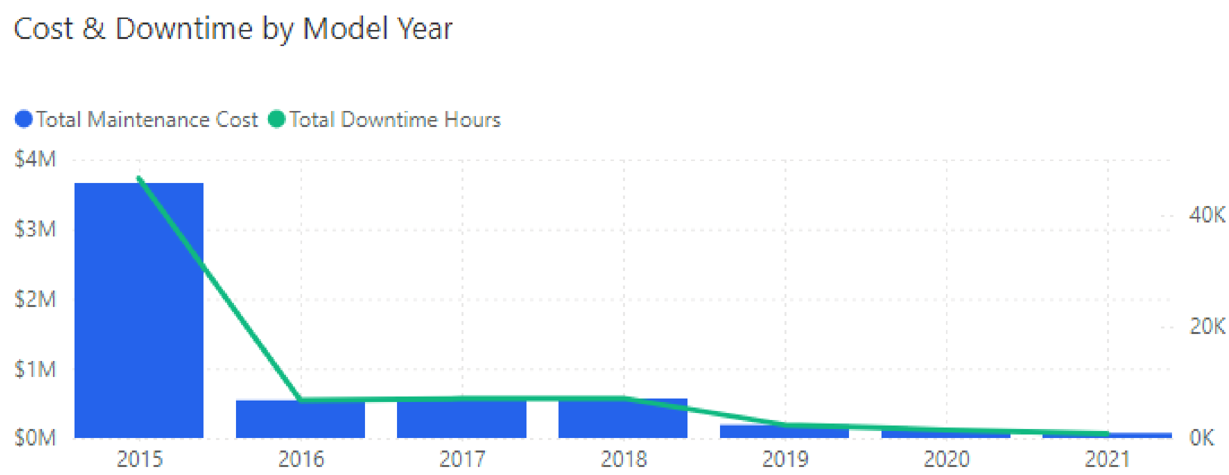
$5.73M	**$0.047**	**72,231**	**2,920**
TOTAL REPAIR SPEND	COST / MILE	DOWNTIME HOURS	SERVICE EVENTS

We spent **$5.73 million on fleet repairs and maintenance** across 2,920 service events, resulting in **72,231 hours of lost vehicle uptime**. Across the entire fleet, maintenance averaged **$0.047 per mile driven** across 122.2 million fleet miles.

The 2015 Aging Fleet Problem

The operational data reveals a heavy concentration of maintenance disruption within our oldest truck cohort:

•**Disproportionate Cost Share:** Power units from model year 2015 account for **$3.66 million (63.9%)** of our entire 3-year repair spend, while all newer models (2016 through 2021 combined) accounted for $2.07 million.
• **Severe Uptime Drain:** 2015 trucks generated **46,608 hours of maintenance downtime (64.5% of all shop hours)** across 1,871 distinct garage repair visits (compared to only 25,623 downtime hours across 1,049 visits for 2016-2021 models).
• **Operational Impact:** While maintenance cost per mile remains close to fleet average ($0.046/mile for 2015 models vs. $0.048/mile for newer models), the sheer breakdown frequency of the aging 2015 units creates constant scheduling disruptions and asset unreliability.



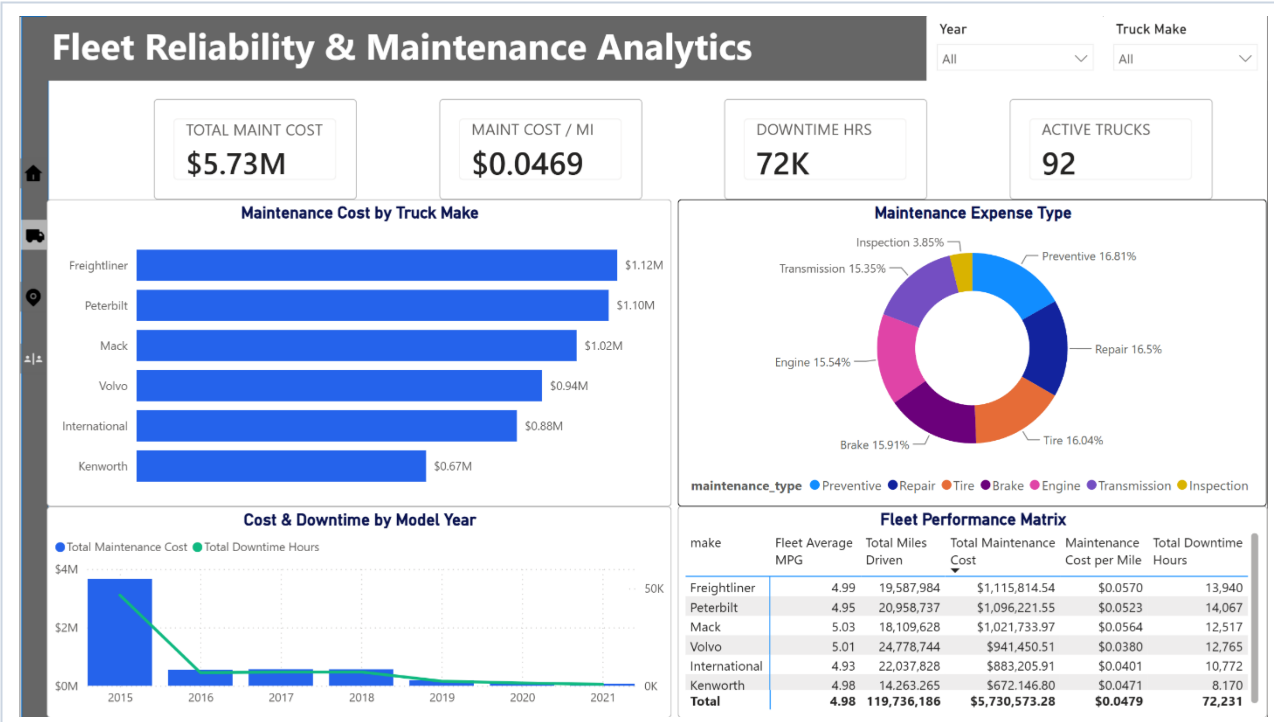
Operational Metric	2015 Fleet Cohort	2016–2021 Cohorts	Share Held by 2015 Units
Repair Spend	$3.66M	$2.07M	**63.9% of total**
Downtime Hours	46,608 hrs	25,623 hrs	**64.5% of total**
Repair Visits	1,871 visits	1,049 visits	**64.1% of total**
Cost per Mile	$0.046 / mi	$0.048 / mi	Near Parity

Key Insight: 2015-model trucks cost about the same per mile as newer trucks to maintain, but break down roughly twice as often. The problem is reliability and unplanned downtime, not cost efficiency per mile - this distinction should guide capital replacement planning.

Truck Manufacturer Performance Ranking

Manufacturer	Cost / Mile	Total Spend	Total Miles	Repair Events	Miles Between Repairs
Volvo	**$0.0380**	$941,450.51	24,778,744	505	49,067 mi
International	**$0.0401**	$883,205.91	22,037,828	436	50,545 mi
Kenworth	**$0.0471**	$672,146.80	14,263,265	340	41,951 mi
Peterbilt	**$0.0523**	$1,096,221.55	20,958,737	573	36,577 mi
Mack	**$0.0564**	$1,021,733.97	18,109,628	501	36,147 mi
Freightliner	**$0.0570**	$1,115,814.54	19,587,984	565	34,669 mi

Data Note: This manufacturer breakdown covers the 92 trucks with recorded maintenance activity in the period, totaling ~119.7M miles. The remaining 28 units in the 120-truck fleet had zero logged repair events.



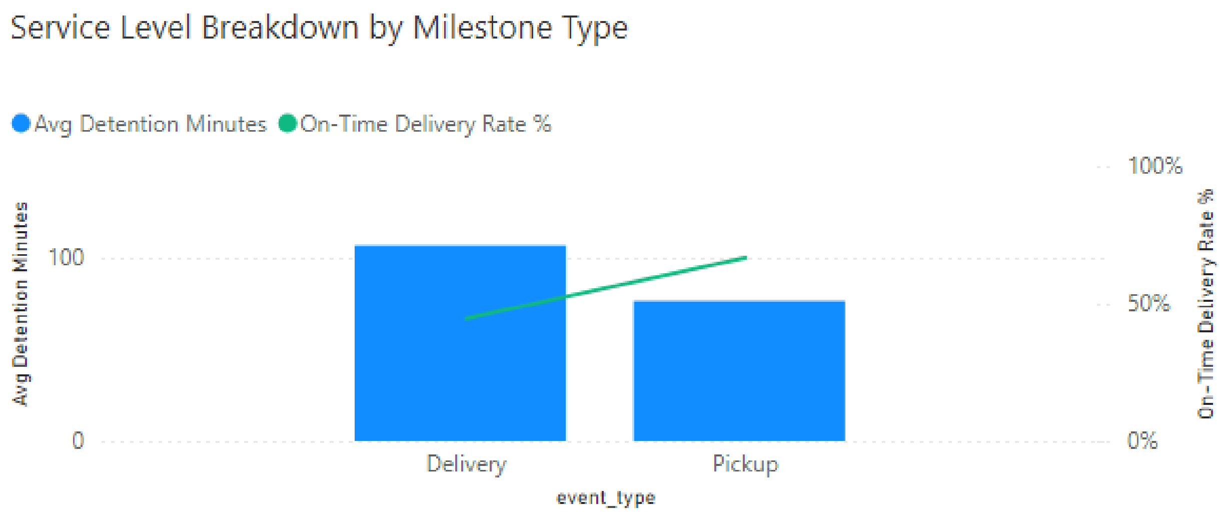
03 Delivery Performance & Warehouse Bottlenecks

55.7%	170,820	260,607	106.6 min
ON-TIME RATE	MILESTONE STOPS	HOURS LOST WAITING	AVG DELIVERY WAIT

Our overall on-time delivery rate is **55.7% across 170,820 transit milestone stops**. While our drivers are leaving pickup locations on schedule, significant delays occur during the final delivery phase at customer warehouses.

Where Shipments Are Slowing Down

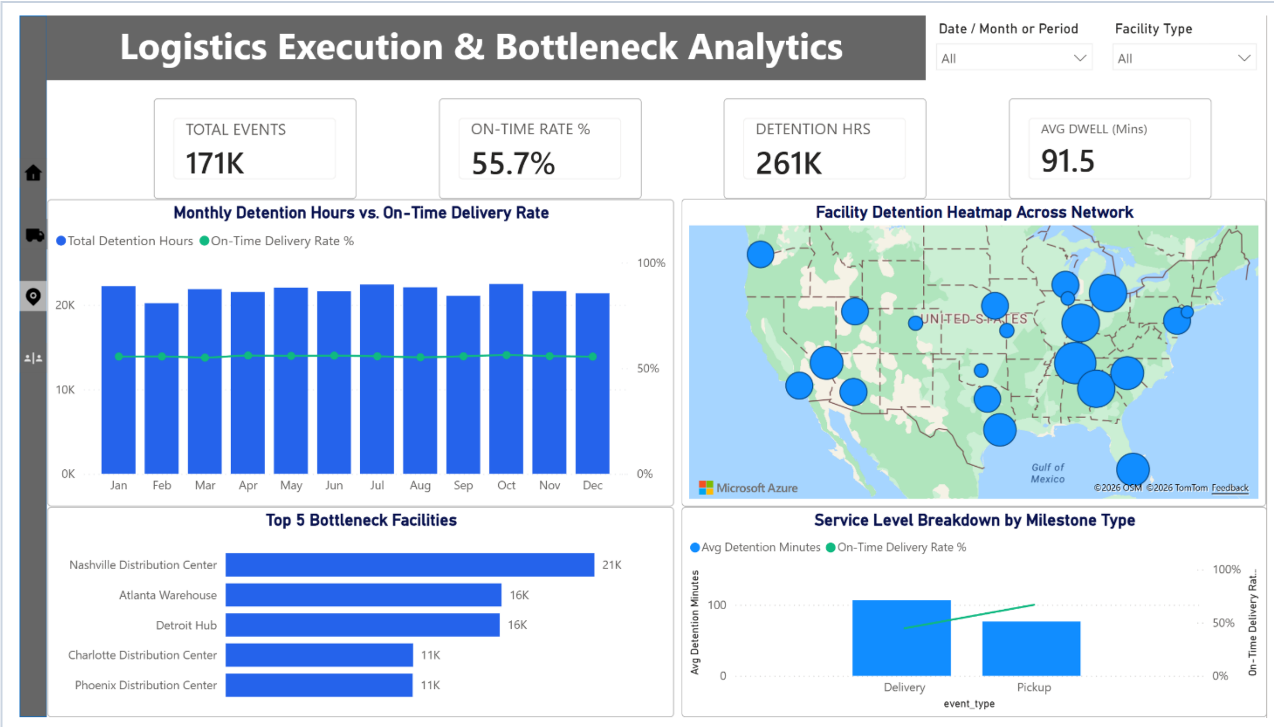
Transit Milestone Stage	On-Time Rate	Avg Wait Time	Variance vs. Pickup Baseline
Pickup Facilities	66.7%	76.5 min	Baseline
Delivery Facilities	44.6%	106.6 min	**+39.3% Longer Wait Time**



Our drivers lost **260,607 hours waiting at loading docks**. Five facilities are responsible for the largest share of network delays:

Facility Name	Location	Facility Type	Total Detention Hours	Total Stops
Nashville Distribution Center	Nashville, TN	Distribution Center	20,929 hrs	13,618
Atlanta Warehouse	Atlanta, GA	Warehouse	15,662 hrs	10,280
Detroit Hub	Detroit, MI	Terminal	15,554 hrs	10,272
Charlotte Distribution Center	Charlotte, NC	Distribution Center	10,632 hrs	7,000
Phoenix Distribution Center	Phoenix, AZ	Distribution Center	10,617 hrs	6,848

Industry Benchmark Context: A 55.7% on-time rate is well below the for-hire trucking industry norm (typically 90%+). Reframing excessive loading dock dwell from an operational inconvenience into an automated contract billing trigger is essential for margin protection.



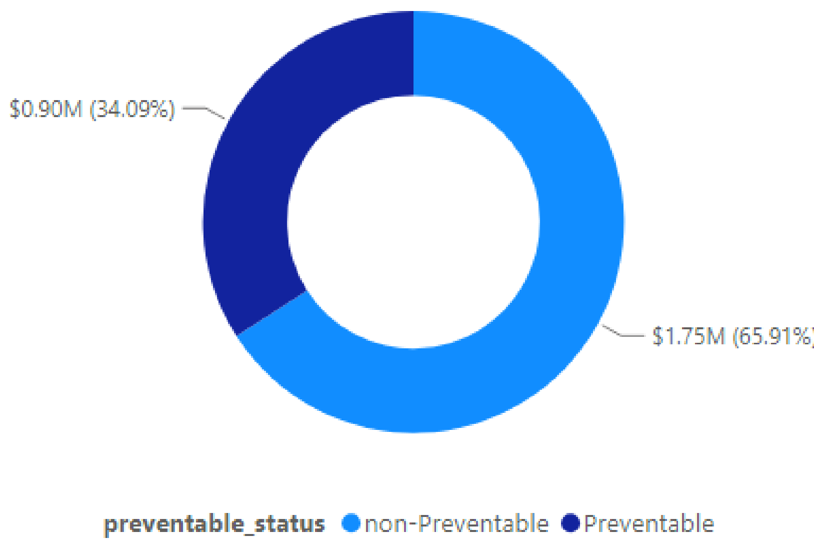
04 Driver Safety, Liability Claims & Fuel Waste

$2.65M	170	37.6%	598,791
TOTAL CLAIMS	SAFETY INCIDENTS	PREVENTABLE %	IDLE HOURS

Over three years, the company incurred **$2.65 million across 170 safety and compliance claims**.

Claim Category	Total Incurred Cost	Claim Count
Equipment Damage	$740,971	35 claims
DOT Regulatory Violations	$581,447	39 claims
Accidents & Collisions	$487,418	35 claims
Customer Cargo Damage	$432,492	34 claims
Moving Violations & Speeding	$410,844	27 claims
Consolidated Liability Claims	**$2,653,172**	**170 claims**

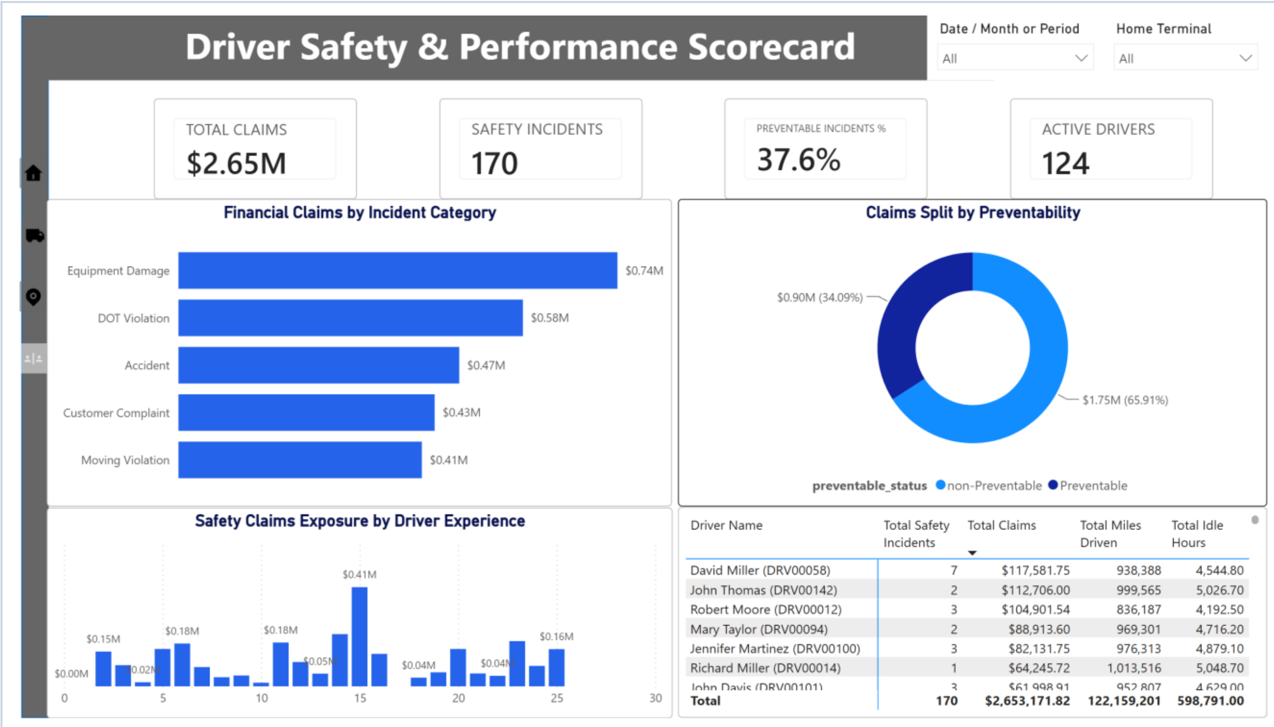
Claims Split by Preventability



Avoidable Losses & Idle Waste: Of the 170 total incidents, **37.6% (64 events) were classified as preventable**, costing $904,476 in avoidable payouts. Fleet drivers also logged **598,791 total engine idle hours** (averaging 7 hours of idling per trip). At typical truck idle fuel consumption rates, excessive idling wasted approximately **$1.85 million in unburned diesel fuel**.

> **Note on Measurement Basis:** The 37.6% preventable figure is a share of incident count (64 of 170 claims). By dollar value, preventable claims represent 34.1% of total claim cost ($0.90M of $2.65M). Both are correct - they measure frequency versus financial severity.

> **Driver Scope Note:** Driver-level metrics reflect 124 active operators with recorded dispatches. The remaining 26 drivers in the 150-driver roster logged zero claims or mileage in the period.



05 Recommended Strategic Action Plan

Action Item	Responsible Department	Expected Business Result & ROI
Decommission 2015 Trucks	Fleet Operations	Eliminates ~64% of shop downtime; saves an estimated **$850K to $1.1M annually** in repair bills.
Automate Detention Billing	Commercial Logistics	Auto-invoices detention after 60 min at delivery docks; recovers up to **$3.0M in unbilled waiting time**.
Update Fuel Surcharge Formula	Sales & Finance	Restructures contract formulas to lift direct fuel recovery from 31.4% to at least **55% to 60%**.
Targeted Driver Safety Program	Safety & HR	Focuses training and idle reduction on top-risk drivers to save **$900K in claims** and **$600K in fuel**.

06 Data Verification & Methodology Notes

Every figure in this report was independently recalculated against the underlying enterprise data model before publication. All core totals, percentages, and derived metrics reconcile correctly.

Data Verification Check	Audit Result
Revenue mix sums to $298.62M (Base + FSC + Accessorials)	**Confirmed Verified**
Contribution Margin: ($298.62M - $95.59M Fuel - $5.73M Maint) / $298.62M = 66.1%	**Confirmed Verified**

Data Verification Check	Audit Result
Fuel Surcharge Recovery Ratio: $29.98M / $95.59M = 31.4%	**Confirmed Verified**
Customer segment load counts (85,410) and revenue sum to fleet totals	**Confirmed Verified**
2015 cohort repair cost ($3.66M / 63.9%) and downtime (46,608 hrs / 64.5%)	**Confirmed Verified**
Manufacturer-level CPM benchmarks (Volvo $0.0380 to Freightliner $0.0570)	**Confirmed Verified**
Pickup vs. delivery dock dwell increase (+39.3%) and blended on-time rate (55.7%)	**Confirmed Verified**
Total driver wait hours (260,607 hrs) across 170,820 milestone stops	**Confirmed Verified**
Safety claims sum to $2,653,172 across 170 logged incidents	**Confirmed Verified**
Preventable incident frequency (37.6% = 64/170) and idle hours (598,791 hrs)	**Confirmed Verified**